DE–8286 **11**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

First Semester

MANAGEMENT CONCEPTS

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Discuss briefly the main elements of Taylor's scientific management.

2. Explain the need for decision making in a business undertaking.

3. What are factors which determine the extent of decentralisation?

4. Discuss the role of job enrichment as a means of motivation.

5. What are the essentials of effective budgetory control?

6. Write a note on Bench marking.

7. Explain briefly the various types of committees.

8. What are the characteristics of a good policy?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Describe the emergence of human relations movement.

10. Discuss the common barriers of communication in an organisation. How should they be tackled?

11. Explain the various approaches to the study of leadeship.

12. Explain the following:

    (a) Total quality management.

    (b) Business process reengineering.

13. Describe modern control devices and show how they are useful in the control of business operations.

14. Discuss the various factors that determine span of supervision.

15. Distinguish between theory X and theory Y. Which theory do you think would work best in most situations?

DE–8287 **12**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

First Semester

MANAGERIAL ECONOMICS

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define Managerial Economics. State the role of managerial economist.

2. Why does the demand curve slopes downwards?

3. List out the importance of elasticity of demand.

4. What are the factors to be considered as cost determinates in business enterprises?

5. Elaborate the uses of production functions.

6. Bring out the methods of valuation of stock for calculate the profit.

7. What are the uses of Break-even Analysis?

8. Critically examine the Balance of Payment and explain its Significance.

PART B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss about the fundamental concepts that aid in decision making to present business.

10. Define Elasticity of Demand. State the factors determining elasticity of demand.

11. Define 'Law of Demand'. Discuss about the assumption of law of demand.

12. What is Cost reduction? Explain the techniques for cost reduction.

13. State the meaning of Price Discrimination and under what circumstances it is possible.

14. What is profit forecasting? State the importance of profit forecasting.

15. Differentiate between inflation and deflation. State the main reasons for deflation.

DE–8288 **13**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, MAY 2014.

First Semester

GENERAL LAWS

(upto 2012-13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. On what grounds and for what purposes can the freedom of trade, commerce and intercourse within India restricted?

2. What do you mean by preamble of the constitution? Explain.

3. Write short notes on :

   (a) Golden rules

   (b) Harmonious construction.

4. What is an arbitration agreement? What are its essentials?

5. Discuss doctrine of Lis Pendens.

6. Briefly explain the various conditions of registration.

7. What are the consequences of non-stamping?

8. What are the provisions relating to sale?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the relationship between Fundamental rights and Directive principles of state policy.

10. Discuss the Jurisdiction of civil courts.

11. Briefly discuss the provisions relating to arbitration without the intervention of court.

12. What is Lease? Discuss the rights and duties of Lessor and Lessee.

13. Explain the exemptions available under the Stamp Act.

14. Describe the miscellaneous provisions in the Registration Act 1908.

15. Explain the provisions regarding Appointment and powers of Arbitrator.

DE–8289 **14**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

First Semester

COMPANY LAW

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the scheme of administration of company law in our country.

2. "The memorandum of association is the charter of a company and defines the limitations of the powers of the company". Explain.

3. What are the conditions under which a company can be empowered to issue shares at a discount?

4. Write notes on:

   (a) Index of members

   (b) Annual return.

5. Mention the 'charges' which require registration under the companies Act. Explain the effects of non-registration of such charges.

6. How is a managing director appointed? What are his duties and responsibilities?

7. What are the requisites for a valid meeting?

8. State the restrictions imposed by the companies Act on the appointment of sole selling agents.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe in brief the various classification of companies.

10. Explain the civil and criminal liabilities for mis-statement in prospectus. Who are liable for such mis-statements?

11. Discuss the provisions of the companies Act, 1956 with regard to further issue of capital by a public company. Are these provisions applicable after the issue of the SEBI guidelines?

12. Can a public company invest its funds in other bodies corporate by purchase of shares or by making loans? State the provisions of the companies Act, 1956 in this respect.

13. What are the different modes of appointing directors of a public company? Explain.

14. Describe briefly the different classes of company meetings, mentioning the nature of business conducted at each one of them.

15. Enumerate the different modes of altering the share capital of a company. What are the provisions of the companies Act, 1956, relating to alteration of capital?

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DE–8290 **15**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

First Semester

CORPORATE ACCOUNTING

(Upto 2012 – 13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. X Ltd. invited application for 10000 shares of Rs. 100 each at discount of 6% payable which is as follows : On application Rs. 25, On allotment Rs. 34 and on first and final call Rs. 35. The applications received were for 9000 shares and all of these were received except the first and final call on 100 shares which were forfeited. 50 shares were reissued @ Rs. 90 as fully paid. Pass necessary journal entries.

2. Newcomer Ltd. issued 50000 equity shares of Rs. 10 each payable as Rs. 3 on application, Rs. 4 on allotment and Rs. 3 on call. Applications were received for 80000 equity shares, out of which letters of regret were issued for 15000 shares. Full allotment was made to applications for 20000 shares. Pro rata allotment was made for the balance. A shareholder holding 100 shares to whom pro rata allotment was made failed to pay allotment money. On the call, there was further default of 150 shares. All shares were forfeited. The first lot of 150 shares was reissued @ Rs. 8 per share as fully paid up shares. Calculate the amount received on allotment.

3. The following underwriting of shares takes place *A* 6000, *B* 2500 and *C* 1500 shares. In addition there is a firm underwriting *A* 800, *B* 300 and *C* 1000 shares. The issue consists of 10000 shares. The total subscription including the firm underwriting was 7100 shares and the forms included the following marked forms. *A* 1000, *B* 2000 and *C* 500 shares. Show the allocation of liability of underwriters.

4. Flat Private Limited was incorporated on 1st July 1989 to take over the running business of Mr. Round with effect from 1st April 1989. The following profit and loss account for the year ended 31st March 1990 was drawn up.

Particulars	Rs.	Particulars	Rs.
To Commission	2,625	By Gross profit	98,000
To Advertisements	5,250	By Bad debts realized	500
To Managing Directors Remuneration	9,000		
To Depreciation	2,800		
To Salaries	18,000		
To Insurance	600		
To Preliminary Exp.	700		
To Rent and Taxes	3,000		
To Discounts	350		
To Bad debts	12,500		
To Net Profits	43,675		
	98,500		98,500

The following details are available. The average monthly turnover from July 1989 onwards was double than that of the previous months. Rent for the first 3 months was paid @ Rs. 200 p.m. and thereafter at a rate increased by Rs. 50 p.m. Bad debts Rs. 350 related to sales effected after 1st September 1989 and the realization of bad debts was in respect of debts written off during 1987. You are required to find out the profit prior to incorporation.

5. State the provisions relating to Redeemable Preference Shares.

6. A and B Ltd. carrying on similar business decided to amalgamate and for this purpose a new company AB being formed to take over assets and liabilities of both companies and it is agreed that fully paid shares of Rs. 100 each shall be issued by the new company to the value of the net assets of each of the old company.

Balance sheet as on 31 December 1987

Liabilities	A Ltd. Rs.	B Ltd. Rs.	Assets	A Ltd. Rs.	B Ltd. Rs.
Share capital of Rs. 50 each	50,000	40,000	Goodwill	5,000	2,000
			Land & Buildings	17,000	10,000
General Reserve	20,000	—	Plant & Machinery	24,000	16,000
Profit & Loss Account	3,000	—	Furniture & Fixture	5,000	7,500
Sundry Creditors	4,000	8,000	Stock	10,000	7,500
Bills payable	4,000	—	Debtors	12,000	7,000
Bank overdraft	—	8,000	Cash	8,000	300
			Profit & Loss account	—	5,700
	81,000	56,000		81,000	56,000

The following will be the scheme of valuation of the business of the two companies. In the case of A Ltd. it is decided as

(a) to provide for reserve for debts at the rate of 5% on debtors.

(b) to write off Rs. 400 from stock and

(c) to write off 33.33% from plant and machinery and in the case of B Ltd. it is decided

(d) to eliminate its goodwill and profit and loss account balance

(e) to write off bad dents to the amount of Rs. 1,000 and to provide reserve of 5% on the balance of debtors

(f) to write down plant and machinery at the rate of 10% and

(g) to write off Rs. 1,400 from the value of stock.

You are required to prepare balance sheet after amalgamation.

7. From the balance sheet given below prepare a consolidated balance sheet as on 30th June 1990.

Liabilities	H Ltd. Rs.	S Ltd. Rs.	Assets	H Ltd. Rs.	S Ltd. Rs.
Share capital @ Rs. 10	8,00,000	3,00,000	Land	4,00,000	2,00,000
Creditors	3,50,000	1,60,000	Plant	2,00,000	1,00,000
Bills payable	40,000	20,000	Furniture	50,000	20,000
			Stock	1,50,000	80,000
			Debtors	1,00,000	60,000
			Bank	50,000	20,000
			Investment in share	2,40,000	—
	11,90,000	4,80,000		11,90,000	4,80,000

8. Explain the items that would appear on the Debit and Credit side of the revenue account of an insurance company.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the salient features of Accounting Standard 6 on Depreciation accounting.

10. S Ltd. issued 40000 equity shares of Rs. 10 each at a premium of Rs. 2.50 each to the public. The amount was payable as to Rs. 2. On application, Rs. 4.50 on allotment (including premium) and Rs. 6 on call. Owing to heavy over subscription allotment was made as under.

(a) Applicants for 23000 shares (in respect of applications for 2000 or more shares) were allotted 10,500.

(b) Applicants for 48000 shares (in respect of applications for 1000 or more shares) were allotted 14200 shares.

(c) In respect of the remaining applicants, that is, for those who applies for 25400 shares, allotment of 15240 shares on pro rata basis. Excess application money was adjusted against subsequent dues and the final surplus was returned. Sudhakar to whom 300 shares were allotted on pro rata failed to pay the allotment money. Narayan who was allotted 450 shares on pro rata basis did not pay the call money. Their shares were forfeited after the call was made. Five hundred of these shares were reissued to Seshadri at Rs. 9 per share (the whole of Sudhakars share) being included. Prepare Journal Entries and Balance Sheet.

11. X Ltd. has the following balance as on 31.3.1990.

Liabilities	Rs.	Assets	Rs.
10000 Equity shares of Rs. 100	10,00,000	Fixed assets	22,00,000
		Current assets	8,00,000
5000, Preference shares of Rs. 100	5,00,000		
Capital Reserve	1,00,000		
Share Premium A/c	1,00,000		
General Reserve	2,00,000		
Profit & Loss a/c	1,00,000		
Current liabilities	10,00,000		
	30,00,000		30,00,000

The preference shares are to be redeemed at 10% premium. Fresh issue of equity shares is to be made to the extent as it is required under the Companies Act for the purpose of this redemption. The short fall in funds for the purpose of the redemption after utilizing the proceeds of the fresh issue are to be met by taking a bank loan. Pass journal entries.

12. R Engineers Ltd. have authorized capital of Rs. 50 lakhs. Divided into 500000 equity shares of Rs. 10 each. Their book shows the following balances as on 31st December 1987.

Stock (1.1.87)	6,65,000	Bank current a/c	20,000
Discount & Rebate	30,000	Cash in hand	8,000
Carriage inwards	57,500	Debenture interest for half year up to 30.6.87	10,000
Patents	3,75,000		
Rates, Taxes, Insurance	55,000	Bank interest	91,000
Furniture	1,50,000	Preliminary Expenses	10,000
Material purchased	12,32,500	Calls in arrears	10,000
Wages	13,05,000	Equity shares capital @ Rs. 10 each	20,00,000
Coal & Coke	63,000		
Freehold land	12,50,000	4% debentures (Repayable after 10 years)	5,00,000
Plant & Machinery	7,50,000		
Engineering Tools	1,50,000	Bank overdraft	7,57,000
Goodwill	3,75,000	Sundry creditors	2,40,500
Sundry debtors	2,66,000	Sales	36,17,000
Bills Receivable	1,34,500	Rents (Cr.)	30,000
Advertisement	15,000	Transfer fees	6,500
Commission brokerage	67,500	Profit & Loss a/c (Cr.)	67,000
		Repairs	46,500
		Bad debts	25,500
		Business expenses	56,000

The stock (valued at cost or market value whichever is lower) as on 31st December 1987, was Rs. 7,08,000. Outstanding liability for wages Rs. 25,000 and business expenses Rs. 25,000. Dividend declared @ 10% on paid up capital. To charge depreciation Plant and Machinery @ 5% engineering tools @ 20% patterns @ 10%, furniture and fixture @ 10%. Provide 2% on debtors as doubtful debts after writing of Rs. 21,500 as bad debts. To write off preliminary expenses Rs. 5,000 and to create debenture redemption reserve Rs. 50,000. Provide Rs. 2,40,000 for income tax.

Prepare (a) Profit and Loss Account and (b) balance sheet.

13. TV Ltd. absorbed the business of Radio Ltd. as a going concern on 30th June 1989, the balance sheets of the two companies on that date being as under :

Liabilities	TV Ltd. Rs.	Radio Ltd. Rs.	Assets	TV Ltd. Rs.	Radio Ltd. Rs.
Share capital @ Rs. 10	10,00,000	6,00,000	Goodwill	—	1,00,000
			Building	5,00,000	—
Reserves	1,20,000	—	Stock	1,40,000	2,60,000
Creditors	20,000	1,00,000	Debtors	2,80,000	2,00,000
Bank overdraft	—	1,00,000	Investments	1,20,000	—
			Balance at bank	1,00,000	—
			Profit & Loss Account	—	2,40,000
	11,40,000	8,00,000		11,40,000	8,00,000

The purchase consideration was agreed upon at Rs. 4,00,000 payable as to Rs. 2,00,000 in cash and the balance by issue of 16000 equity shares of Rs. 10 each fully paid in TV Ltd. at an agreed value of Rs. 12.50 per share. The sale was completed and Radio Ltd. then went into liquidation. Pass journal entries in the books of TV Ltd. and balance sheet after purchase.

14. From the balance sheet given below prepare a consolidated balance sheet of A Ltd. and its subsidiary company B Ltd.

Liabilities	A Rs.	B Rs.	Assets	A Rs.	B Rs.
Share of Rs. 10	25,00,000	6,00,000	Land & Building	6,40,000	2,00,000
General Reserve	3,60,000	1,20,000	Machinery	12,60,000	3,40,000
Profit & Loss a/c	2,40,000	1,80,000	Furniture	1,40,000	60,000
Trade Creditors	3,50,000	1,00,000	40000 shares in B Ltd.	5,00,000	—
			Stock	4,10,000	2,50,000
			Debtors	3,80,000	1,00,000
			Bank Balance	1,20,000	50,000
	34,50,000	10,00,000		34,50,000	10,00,000

At the date of acquisition by A Ltd. of its holding of 40000 shares in B Ltd. the latte company had undistributed profits and reserves amounting to Rs. 1,00,000 none of which has been distributed since then.

15. The following balance from part of the books of Bharat Insurance Company as on 31st December 1989.

Life fund on 1st Jan 1989	15,70,562	Claims by death	1,16,980
Claims by maturity	96,420	Premiums	2,70,572
Management expenses	29,890	Commission	36,541
Consideration for annuities granted	10,620	Claims admitted but not paid at the end of the year	80,034
Income tax on profit	3,060	Bonus paid in reduction of premium	3,500
Preliminary expenses	600		
Annuities due but not paid	22,380	Interest, dividend and rent	52,461
Govt. securities	16,90,890	Capital paid up	6,00,000
		Sundry assets	5,68,110

Additional relevant data are as follows : Claims covered under re insurance Rs. 10,000. Further claims intimated Rs. 8,000. Further bonus utilized in reduction of premiums Rs. 1,500. Interest accrued Rs. 15,400. Premiums outstanding Rs. 7,400. Prepare a revenue account and the balance sheet.

DE–8291 **21**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Second Semester

HUMAN RESOURCE MANAGEMENT

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. How does the personnel function change as firm grows in size?

2. What are the techniques for forecasting human resource needs for a growing organisation?

3. How will you evaluate and control recruitment programme?

4. Discuss the role of training and development in the present business environment.

5. What are the objectives of compensation management?

6. What are the statutory provisions concerning employee safety at workplace?

7. Explain the objectives of maintaining discipline in an organisation.

8. Discuss in brief the different types of human resource records.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

9. Describe the various functions of human resource management.

10. What is job description? How will you prepare a job description?

11. What are the different placement situations? What factors should be taken into consideration while placing an employee on a job?

12. What is sensitivity training? What are its objectives and how is it conducted?

13. What do you mean by fringe benefits? What is the rationale behind fringe benefits?

14. What are the different types of transfer? Explain the various aspects of a sound transfer policy in an organisation.

15. What do you mean by selection tests? What are the different types of tests that are used in selection process?

DE–8292 **22**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Second Semester

BANKING AND INSURANCE LAWS

(Upto 2012-2013)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE of the following.

All questions carry equal marks.

1. Explain the objectives of banking regulation Act, 1949.

2. Discuss the evaluation and importance of E-banking in India.

3. What is crossing of cheque? Explain the alterations which are construed as materials alteration in cheque.

4. Explain the important functions of insurance.

5. State the essential elements of a contract of insurance.

6. Describe the precautions to be taken by the collecting banker.

7. What are the importances of risk management?

8. What is lending? State the principles of sound lending.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR of the following.

All questions carry equal marks.

9. State and explain the functions of Reserve Bank of India.

10. Explain the general relationship between banker and a customer.

11. State and discuss the recent development in Indian insurance sector.

12. List out the various types of insurance contact.

13. Write a descriptive note on "Process of Risk Insurance Management".

14. State and discuss the different types of negotiable instruments.

15. What are the important duties and powers of IRDA?

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DE–8293 **23**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Second Semester

DIRECT TAXES

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Describe the provisions related to residential status of an individual?

2. Explain any eight fully exempted incomes covered under Income Tax Act 1961.

3. Distinguish between capital and revenue expenditure?

4. Explain the provisions relate to valuation of jewellery.

5. Compute income from house property from the particulars given below for the Assessment Year 2013 — 2014.

Municipal Rental Value	Rs. 24,000
Actual Rent Received	Rs. 30,000
Municipal Taxes	Rs. 2,400
Date of completion	31.03.2005
Date of letting	01.04.2005

Fire insurance premium paid	Rs. 400
Ground Rent	Rs 600
Interest on loan taken for construction	
2012–2013	Rs. 10,000
2006–07 to 2011–12	Rs. 15,000p.a.
Interest on delayed payment of interest	Rs. 1,000

6. Sri. J.K. Jain is working as Chandigarh for the year ending 31.03.2013. He furnished the following particulars of his income:

Basic Salary Rs. 2,500 p.m.

D.A Rs. 400 p.m. (50% Enters into pay for service benefit)

Advance Salary Rs. 5,400

Leave Salary Rs. 3,000.

Lunch Allowance Rs. 200 p.m.

Bonus Rs. 8,000

Employer's contribution to RPF at 15% (Each) of salary.

Arrears of D.A. Rs. 300

Conveyance Allowance received during the year Rs. 2,500 and he has incurred

Rs. 1,800 during the year on conveyance

House Rent Allowance 20% of salary, he pays rent Rs. 600 p.m.

Entertainment Allowance Rs. 500 p.m.

Compute his salary income.

7. The following is the profit and loss account of a merchant for the year ending 31st March 2013.

Profit and Loss Account

	Rs.		Rs.
To office salary	6,500	By Gross profit	36,750
To bad debts written off	1,700	By commission	1,250
To provision for bad debts	3,000	By discounts	500
To advertisement	3,800	By sundry receipts	200
To fire insurance premium		By rent of building	3,600
(House property)	550	By profit on sale	
To general expenses	2,750	of investments	3,000
To depreciation	1,200		
To interest on capital	2,000		
To interest on bank loan	1,300		
To net profit	22,500		
	45,300		45,300

Compute the taxable profits from business. The amount of depreciation is Rs.1,000. Interest on Bank Loan was paid on 1.8.2013. Due date of filing of return is 31-7-2013

8. Mr. Sen Gupta retired on 31.5.2012 and his pension was fixed at Rs. 1,500 p.m. His salary at the time of retirement was Rs. 5,000 p.m. Compute the taxable amount from salary and pension for the previous year 2012-2013 in following situations if salary and pension are due on 1st of every month:

(a) He gets 1/3 of his pension commuted from his employer (which is Punjab Govt.) and gets Rs. 60,000 as commuted value.

(b) He gets 1/2 of his pension commuted from his employer (a Company) and gets Rs. 90,000 as commuted value. Company has given him gratuity also.

(c) He commutes 3/4 th of his pension during January 2013 and gets Rs. 1,35,000 as commuted value. He does not get any gratuity from his employer which is a Company.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. From the following statement compute the income from profession of Dr. S.K. Kapoor if accounts are maintained on mercantile system

	Rs.		Rs.
To dispensary rent	36,000	By visiting fees	45,000
To electricity	6,000	By consultation fees	1,25,000
To telephone charges	6,000	By sales of medicines	72,000
To salary to nurse	36,000	By dividends	5,000
To Depreciation on surgical equipment	6,000		
To Purchase of medicines	36,000		
To Depreciation —X-ray machine	4,000		
To Income tax	5,500		

	Rs.		Rs.
To Donation to mission	4,000		
To Motor car expenses	9,600		
To Dep on car	4,800		
To Net income	93,100		
	2,47,000		2,47,000

Notes:

(a) Electricity include domestic bill Rs. 2500

(b) Half of motorcar expenses are for professional use

(c) Telephone expenses include 40% for personal use

(d) Opening stock of medicines was Rs.6,000 and closing stock was Rs.4,000

10. Discuss the powers of Income Tax Officer.

11. Calculate Income from salary of Mr. Sultan in the following cases:

Basic salary Rs. 12,500 p.m. (Up to 30th Sep 2012 and Rs. 15,000 p.m. thereafter)

DA 45% of Basic Salary (out of which 25% enters into pay for service benefit)

Bonus Rs. 8,000

CCA Rs. 2,000 p.m.

Project Allowance Rs. 1,000 p.m.

Medical Allowance Rs. 600 p.m.

Tiffin Allowance Rs. 500 p.m.

Over time Allowance Rs. 200 p.m.

Family Allowance Rs. 600 p.m.

HRA Rs. 6,250 p.m. (Rent paid Rs. 5,250)

Entertainment Allowance R.s. 4,000 p.m.

Educational Allowance for two children Rs. 7,000 p.a.

Hostel Allowance Rs. 8,000 p.a.

Conveyance Allowance Ra. 600 p.m. (actual Spent Rs. 400 p.m.)

Academic research Allowance Rs. 1,000 p.m.

Washing Allowance R.s. 75 p.m.

Helper Allowance Rs. 100 p.m. (Actual amount spent Rs.75 p.m.)

Uniform Allowance Rs. 500 p.m. (Actual amount spent Rs.750 pm)

Cases:

(a) If Mr. Sultan is a Government employee in Ludhiana.

(b) If Mr. Sultan is a Private employee working at Kolkata

12. The following are the particulars of income and loss of an individual under different heads of income. Set-off losses in the assessment year 2013-14 and find out the net result

Income from house property A Rs.5, 000

Loss from house property B Rs.(-) 8000

Income from interest on securities Rs.20, 000

Loss from cycle business Rs.(-) 20,000

Profit from speculation business Rs.20, 000

Loss from short term capital asset Rs.(-) 6,000

Long term capital loss Rs.(-) 25,000

Long term capital gain (investments) Rs.21, 000

13. Mr. B. Sen has furnished following particulars

Salary @ Rs.10000 p.m.

Dearness allowance @ Rs.500 p.m. (it enters into pay for retirement benefits)

Entertainment allowance @ Rs.600 p.m.

Bonus Rs.8400

Cost of furnishing Rs. 20, 000

Calculate the rent free house if:

Case 1: Mr. B. Sen is government employee and rent free house fixed by Government is Rs.300 p.m.

Case 2: Mr.B.Sen is working in a semi-Government undertaking at Chennai (population more than 25 lakhs) and fair rental value of the house is Rs.1,000 p.m.

Case 3: Mr.B.Sen is working in private sector at Chandigarh (population below 10,00,000) and fair rental value of the house hired by the employer is Rs.3,000 p.m. He's also provided with hired refrigerator whose hire charges of Rs.600 p.m. are paid by the employer.

Case 4: Mr.B.Sen is working in private sector at Delhi (population more than 25 lakhs) and rental value of the house not owned by employer is Rs.3000 p.m.

14. The gross total income of Mrs. Usha amounted to Rs.6,00,000 in the previous year ending on 31st march 2013. She has made the following donations.

To Gujarat earthquake relief fund	Rs. 40, 000
To Africa (public contributions India) fund	Rs.10, 000
To approved educational institutions	Rs.15, 000
To approved temples	Rs.35, 000
Cloths distributed to poor	Rs. 5,000
To municipal corporation for promotion of Family planning	Rs.20, 000

Compute the amount of deduction admissible u/s 80G for the Assessment year 2013-2014.

15. A Ltd is engaged in the construction of residential flats. For the valuation date 31.03.2013, it furnishes the following data and requests you to compute the taxable wealth.

Land in urban area (Construction is not permitted) Rs. 55,00,000

Motor cars (used on hire by the company) Rs. 10,00,000

Jewellery (Investment) Rs. 25,00,000. Loan taken for purchasing the same Rs. 20,00,000

Cash Balance as per books Rs. 2,75,000

Bank Balances Rs. 5,50,000

Guest House (situated 30 kms away from municipal limit) Rs. 10,00,000

Residential flats occupied by managing director Rs.15,00,000 (drawing remuneration of Rs. 2,00,000 p.m.)

Residential house were let out on hire for 200 days Rs. 10,00,000.

DE–8294 **24**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Second Semester

ADVANCED COMPANY LAW

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Write a descriptive note on "Corporate Accountability".
2. State the rules relating to payment of dividend.
3. Explain the "Majority Rule" in detail.
4. Discuss the various consequences of winding up.
5. Write the procedure of winding up process in UK.
6. Point out the differences between inspection and investigation.
7. What is MNC? State its features.
8. What is insider trading? What are its effects?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the provisions relating to appointment of Auditors.

10. What are the provisions of Companies Act, 1956 for the prevention of oppression and mismanagement in a company?

11. Explain the various modes of winding up of a company.

12. Discuss the International dimensions of Company Law.

13. Bring out the legal structure of MNCs.

14. Discuss the powers of ROC in the investigation process.

15. Elaborate the SEBI's regulations relating to Anti-insider trading.

DE–8295 **25**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Second Semester

COST AND MANAGEMENT ACCOUNTING

(Upto 2012-13)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. List the scope of cost accounting.

2. Write down the limitations of cost accounting.

3. Draw up the main types of ascertaining cost.

4. V Industries manufacture a Product X. On 01st Jan. there were 500 units of finished product in stock. Other stocks on 01 jan. were as under. Work in progress Rs. 5,740 and Raw Materials Rs. 11,620. The information available from cost records for the year ended 31st Dec. was as follows: Indirect labor Rs. 12,160, Direct labor Rs. 32,640, Freight on raw material purchased Rs. 5,570, Other factory expenses Rs. 31,730, Work in progress as on 31st Dec. Rs. 7,820, Sales — 15000 units for Rs. 3,60,000, Total manufacturing cost incurred Rs. 1,94,000. There are 1500 units of product in finished goods stock on 31st Dec. You are asked to prepare a statement of cost.

5. Mr. S owns a fleet of taxis and the following information is available from the records maintained by him :

Number of taxis	10	Ins Premium	5% pa
Cost of each taxi	54600	Annual Tax	Rs. 800 per taxi
Manager Salary	Rs. 700 pm	Drivers	
Accountant Salary	Rs. 500 pm	Salary	Rs. 350 pm per taxi
Cleaner Salary	Rs. 200 pm	Annual	
Mechanics Salary	Rs. 400 pm	Repairs	Rs. 1,000 per taxi
Oil and other	Rs. 10.50 per	Total life of a	
Sundries	100 km	taxi	200000 kms
		Garage Rent	Rs. 600 pm
		Petrol	1 litre for every 10 km
			@ Rs. 4.41 per litre

A taxi runs in all 3000kms in a month and 30% of this distance has to be run without any passenger. Calculate the cost of running a taxi per km.

6. List out various applications of process costing.

7. Break down of cost per unit at an activity level of 10000 units of Zenith Razors is as follows:

Raw materials	Rs. 10
Direct expenses	Rs. 8
Chargeable expenses	Rs. 2
Variable overheads	Rs. 4
Fixed overheads	Rs. 6
Total cost per unit	Rs. 30
Selling price	Rs. 32
Profit per unit	Rs. 2

How many units must be sold to break even?

8. Calculate inventory turnover ratio from the following. Cash sales Rs. 80,000, Credit sales Rs. 2,00,000, Returns Inwards Rs. 10,000, opening stock Rs. 25,000, Closing Stock Rs. 30,000, Gross profit ratio is 25%.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the steps in installing an effective costing system and its difficulties in installing costing system.

10. The annual demand of a product is 24000 units. It is produced in batches and the largest size of a singly batch is 6000 units. After each batch is complete, the set up cost is Rs. 750. The annual carrying cost is Rs. 2.25 per unit. Assume average inventory as one half of the number of units made in each batch. Selecting 4, 6, 8, 12 and 24 batches per annum, determine annual costs of each and state the optimum number of batches to minimize the total costs.

11. Neo Pharma processes a product through three distinct stages the product of one process being passed on to the next process and so on to the finished product intact. Details of the cost incurred in each processes are given below :

Particulars	Process–A	Process–B	Process–C
Raw materials	1000	800	200
Direct wages	500	600	700
Direct expenses	150	250	500

The overhead expenses for the period amounted to Rs. 3,600 and is to be distributed to the processes on the basis of direct wages. There were no stocks in any of the processes either at the beginning or at the close of the period. Assuming the output was 1000 kilos show the process cost of A, B and C indicating also the cost per kilo of each element of cost and the output in each process.

12. Ambitious enterprises is currently working at 50% capacity and produces 10000 units. At 60% working, raw materials cost increase by 2% and selling price falls by 2%. At 50% working capacity the product costs Rs. 180 per unit and is sold at Rs. 200 per unit. The unit cost of Rs. 180 is made up as follows. Materials Rs. 100, Wages Rs. 30, Factory overhead Rs. 30 (40% fixed) and Administration overheads Rs. 20 (50% fixed). Prepare a marginal cost statement showing the estimated profit at 60% and 80% capacity.

13. Evaluate the requisites of an successfully management accountant.

14. The following date represents the ratios pertaining to X Co. Ltd for the year ending 31st March 1996.

Annual sales	Rs. 40,00,000	Sales to net worth	4 times
Current liabilities	50%	Total debtors to net worth	80%
Current ratio	2.2 times	Sales to inventory	8 times
Average collection period	40 days	Fixed assets to Net worth	70%

From the above mentioned particulars prepare the balance sheet of X Co. Ltd. as on 31st march 1996. Assume that all sales made on credit.

15. From the following balance sheet of A & Co. you are required to show any increase or decrease in working capital and sources and application thereof.

	Rs.	Rs.		Rs.	Rs.
Share capital	2,40,000	3,60,000	Land	1,66,200	3,39,600
Share premium	24,000	36,000	Machinery	1,06,800	1,53,900
General reserve	18,000	27,000	Furniture	7,200	4,500
Profit and loss a/c	58,500	62,400	Stock	67,300	78,000
8% debentures	–	78,000	Debtors	1,08,500	1,17,300
Provision for taxation	29,400	32,700	Bank	14,400	12,000
Creditors	1,00,500	1,09,200			
	4,70,400	7,05,300		4,70,400	7,05,300

Depreciation written off during the year on machinery Rs. 38,400 and on furniture Rs. 1,200.

DE–8296 **31**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, MAY 2014.

Third Semester

ORGANISATIONAL BEHAVIOUR

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Identify the significance of organizations in modern society.

2. Discuss the measures for improving Perceptual skills.

3. What is Group Dynamics? Why is it important for understanding organizational behaviour?

4. What is Leadership? Explain the importance of Leadership.

5. Suggest some measures to make communication effective.

6. What is power? Discuss about the effective uses of powers.

7. Define - "Organizational Culture". Explain the Significance of Organizational Culture.

8. Critically examine the Organizational Development efforts made in India. Identify some of the reasons for failure of Organizational Development Programmes in India.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Bring out the values of theories and experience? Discuss the role of organizational behaviour for managers.

10. What is Personality? Explain the major determinants of Personality.

11. Define — Motivation. Critically analyse the Maslow's Theory of motivation.

12. Examine the leadership styles being followed by Indian Managers. Can you suggest a right style?

13. Briefly explain the consequences of stress and coping strategies for stress which can be adopted at individual level.

14. What is organizational design? List out the different forms of organizational design.

15. State and explain the factors affecting in Resistance to change.

DE–8297 **32**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Third Semester

LABOUR AND INDUSTRIAL LAWS

Time : Three hours Maximum : 100 marks

SECTION A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. Describe the provisions of annual leave with wages available to a worker under the factories act, 1948.

2. How far is an employer is liable for compensation to a workman injured by an accident arising out of and in course of his employment?

3. State the provisions of the Industrial Disputes Act, 1947 relating to layoff and retrenchment.

4. What are the penalties prescribed by the employees state insurance act, 1948 for contravention of the provisions of the act?

5. How are the Inspectors for the purposes of the Employee's provident funds and miscellaneous provisions act, 1952 appointed? What are their powers?

6. Who is liable for payment of wages and what is his liability in respect of wage periods?

7. How is 'available surplus' determined under the payment of Bonus Act?

8. What are the privileges of a registered trade union?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. State the provisions of the factories act, 1948 with regard to health, safety and welfare of workers.

10. Discuss the industrial disputes settlement authorities under the industrial disputes act, 1947.

11. What are the provisions in the Workmen's compensation act, 1923 relating to medical examination of an injured workman?

12. How are the inspectors appointed under the employees state insurance act, 1948 and what are their functions and duties?

13. What are the provisions of the Employee's provident funds and miscellaneous provisions act, 1952 relating to the constitution of provident fund scheme and family pension scheme?

14. What is the procedure for determining claims arising out of deductions from wages? State the powers of the authority to whom such claims are referred.

15. What are the rules for determination and distribution of bonus? How can bonus be recovered by the employees?

DE–8298 **33**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Third Semester

SECURITIES LAWS AND FINANCIAL MARKETS

Time : Three hours Maximum : 100 marks

PART A — ($5 \times 8 = 40$ marks)

Answer any FIVE questions.

1. What do you mean by the financial market?

2. Explain the terms capital market and money market.

3. State the key objectives of securities laws. How it secure the individual investor?

4. Who prefer the sweat equity shares? Why do they prefer?

5. Discuss the credit rating process of CRISIL.

6. What are the recent trends in the primary capital market?

7. State the rules and regulations of the SEBI towards sub-brokers.

8. Explain the various risks involved in mutual fund investment.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the development and growth of financial and capital markets in India.

10. State the role of International capital market and its impact on our capital market.

11. Who are the players of secondary market? Briefly describe their roles.

12. What are the various steps involved in the rating process?

13. Critically examine the recent resources mobilisation in the primary capital market.

14. State the functions and scope of secondary market.

15. Explain the roles of different players of mutual fund.

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DE–8299 **34**

DISTANCE EDUCATION

M.B.A. (Corporate Secretaryship) DEGREE EXAMINATION, MAY 2014

Third Semester

INDIRECT TAXES

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the salient features of Indirect Taxes.

2. Explain the different bases of excise duty.

3. When and by whom a certificate of registration is to be obtained under the Central Excise Act?

4. Enumerate the advantages of VAT.

5. Distinguish MODVAT and CENVAT.

6. Explain the objectives of the Customs Act.

7. What are notified and specified goods?

8. What are the essential ingredients of an inter-state sale or purchase?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Define manufacture. Discuss notable case laws on manufacture.

10. Discuss the control systems available to the central excise department for clearance of excisable goods.

11. Explain the services in respect of which service tax is payable.

12. What is tax planning? State the scope of tax planning with regard to levies of Central Excise.

13. Explain the different types of customs duty.

14. What goods can be warehoused? State the owner's rights to deal with warehoused goods.

15. Discuss the provisions of the CST Act regarding levy and collection of CST.

DE–8300 **35**

DISTANCE EDUCATION

M.B.A.(CS) DEGREE EXAMINATION, MAY 2014.

Third Semester

COMPANY SECRETARIAL PRACTICE

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the steps you would take to obtain the certificate of incorporation in the case of a public limited company.

2. In what different ways can a company limited by shares raise its share capital? Explain.

3. Draft a resolution for appointment of sole selling agent by the company where the appointee has substantial interest in the company.

4. What are the secretarial duties relating to the writing and confirmation of minutes?

5. Set out briefly the contents of annual return to be made by a company having a share capital.

6. Explain the grounds on which the court would consider it just and equitable to wind up a company.

7. Draft a notice cancelling a Board meeting and issuing notice for a fresh Board meeting.

8. Draft an imaginary annual report by the board of directors to the shareholders.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Draft specimen resolution indicating type of resolution required to be passed in respect of commencement of new business by an existing company.

10. How are the shares in a company transferred? Can the board of directors refuse to register a transfer of shares? What is the remedy open to the transferee in such a case?

11. Enumerate the duties of the secretary with regard to appointment of directors in different circumstances.

12. What is an Extraordinary general meeting? Who can call it? Draft a notice calling an Extra ordinary general meeting of a public company limited by shares.

13. What is Director's report? What information must it contain as per the companies Act? Who is competent to sign the Director's report?

14. Describe the procedure for member's voluntary winding up. What are the duties of a company secretary in respect of such winding up?

15. Describe in detail the procedure for the appointment of sole selling agents under different circumstances.

DE–8301 **36**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Third Semester

CORPORATE RESTRUCTURING: LAW AND PRACTICE

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the strategy formulation of restructuring?
2. Explain the need of restructuring.
3. What are the reasons for amalgamation ?
4. Discuss the procedural aspects of take overs.
5. Distinguish between demergers and reconstruction.
6. How can you measure post merger efficiency? Explain.
7. Explain the concept of financial restructuring.
8. Describe the accomplishment of objectives in post merger Re-organisation.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the competitive advantage and core competence of corporate restructuring.
10. Explain the legal aspects of mergers and amalgamation.

11. Discuss the regulations of SEBI with regard to Take over.

12. Explain the modes of demerger.

13. Explain the Indian scenario of corporate demergers.

14. Under what circumstances gains to post merger valuation made? Explain.

15. Explain the government's guidelines of financial restructuring.

DE–8302 **41**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Fourth Semester

DRAFTING AND CONVEYANCING

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the use of appropriate words and expressions in drafting.

2. What is 'Habendum' and 'Testimonium'? Explain.

3. Discuss the contents and its significance in appointment Orders.

4. What is arbitration agreement ? Why is it needed ? What are its contents ?

5. What are deeds of floating charges ? Explain.

6. Write short notes on:

   (a) Deed of Exchange.

   (b) Gift Deeds.

7. Discuss the Rights and Powers of appellate authorities under the corporate legislation.

8. What is recoverable and irrecoverable letters of authority?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the rules for drafting and its legal implications.

10. Briefly discuss the procedure for preparing suspension orders and orders of dismissal.

11. Explain the content of collaboration agreements and its significance in drafting.

12. Explain the different types of mortgage deed and its advantages.

13. Discuss the concept 'Business debt', its types and significance.

14. Describe the procedure for drafting an application and pettition to public financial institution.

15. Explain the Deeds of Power of attorny and its contents.

DE–8303 **42**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Fourth Semester

ECONOMIC LEGISLATIONS

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain
   (a) Ancillary Industrial undertaking.
   (b) Substantial expansion.

2. What is meant by combination? Briefly explain with examples.

3. Write a note on capital account transactions.

4. What are the provisions regarding authorisation of an authorized dealer?

5. What are the powers of the state government to declare air pollution control areas?

6. Discuss "ECOMARK" and "ENVIRONMENTAL AUDIT".

7. Who are the members of the consumer protection councils?

8. Define
   (a) Consumer.
   (b) Complainant.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the provisions in regard to licencing of industrial undertakings.

10. Under what conditions can the central government take over an industrial undertaking? Explain.

11. What are the obligations of an exporter of goods and services out of India? Discuss.

12. How the pollution control Boards are constituted? Discuss.

13. What are the factors causing adverse effect on competition? Explain.

14. What are the powers of the state Board in prevention and control of water pollution?

15. Explain the consumer disputes redressal procedure followed by the district forum.

DE–8304 **43**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Fourth Semester

SECRETARIAL AND MANAGEMENT AUDIT

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What is Secretarial Audit? Explain the main objectives of Secretarial Audit.

2. Bring out the SEBI Guidelines for protecting the interest of the investors.

3. List out and explain the importance of statues reports.

4. Discuss about Check list for loan agreements entered with financial institutions.

5. Define Securities Audit. Bring out the scope of Securities Audit.

6. Discuss how far the substitution of the phrase 'true and fair' or 'true and correct' in certifying the state of affairs of a company has altered the duties of an auditor.

7. What do you understand by 'Management Audit'? Discuss in brief the scope of such an audit and the benefits which the management can derive therefrom?

8. List out and explain the difference between cost audit and financial audit.

SECTION B — ($4 \times 15 = 60$ marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Critically examine the exploring new horizons of company secretaries in India.

10. Bring out the duties and powers of Secretarial auditor.

11. Explain the procedure for verification of documents relating to charges.

12. What is the procedure of share transfer audit? What is the duty of the auditor with regard thereto?

13. Explain the significance and scope of systems audit.

14. Outlines the management audit programme.

15. What is cost audit? List out the nature of cost audit.

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DE–8305 **44**

DISTANCE EDUCATION

M.B.A. (Corporate Secretaryship) DEGREE EXAMINATION, MAY 2014.

Fourth Semester

INTERNATIONAL BUSINESS

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is International Business? How it can be regulated?

2. Explain the organisational structure and potentialities of 'ASEAN'.

3. What is foreign direct investment? What are the advantages and disadvantages of FDI?

4. When SAARC was launched? What are its objectives?

5. What is economic integration? Explain the different kinds of economic integration.

6. Distinguish between Trademarks and Copy rights.

7. Give an account of Indian Joint ventures abroad citing an example.

8. What are the advantages and risks of outsourcing in India?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What is political environment? How does it affect international business?

10. Explain the organisational structure, financial resources and role played by international monetary fund in global business.

11. What are multinational corporations? Discuss the features of UN Code of conduct of MNCs.

12. What is meant by technology transfer? What are the different levels of technology transfer? What are the issues involved in Technology transfer?

13. Describe the types of outsourcing with suitable examples.

14. Analyze the policies that have been implemented in developing countries to attract foreign collaborations with special reference to India. Do you think that the policy shift in India has been successful? Give reasons.

15. Discuss the structure and functions of WTO.

DE–8306 **45**

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2014.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the significance of financial management.

2. Enumerate the differences between equity shares and preference shares.

3. Discuss the role of commercial banks in providing working capital to the corporate in India.

4. Discuss the procedure for the calculation of cost of equity capital.

5. Write a short note on optimum capital structure.

6. What are the assumptions and arguments used by Modigliani and Miller in support of irrelevance of dividends?

7. Explain the general procedures for obtaining financial assistance from financial institutions.

8. The total value of a firm remain unchanged regardless of variations in its financing mix – discuss this statement.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain various finance functions.

10. Discuss various financial assistances provided by financial institutions in India.

11. Excel industries Ltd. has assets of Rs.1,60,000 which have been financed with Rs.52,000 of debt. And Rs.90,000 of equity and a general reserve of Rs.18,000. The firm's total profit after interest and taxes for the year ended 31st March, 2005 were Rs. 13,500. He pays 8% interest on borrowed funds and is in the 50% tax bracket. It has 900 equity shares of Rs. 100 each selling at a market price of Rs. 120 per share. What is the weighted average cost of capital?

12. Explain briefly the determinants of working capital.

13. Explain the traditional theory of capital structure. Also discuss its significance and limitations.

14. Sneha Steel Ltd. is expected a net operating income of Rs.3,00,000 on a total investment of Rs.20,00,000. The equity capitalization rate is 10%, if the firm has no debt; but it would increase to 11% when the firm substitutes equity capital by issuing debentures of Rs.6,00,000 and to 12.5% when debentures of Rs.10,00,000 are issued to substitute equity capital. The management expects that it will have to pay interest @ 5% to raise an additional debt of Rs.6,00,000 and @7% to raise an additional debt of Rs.10,00,000. What would be the overall cost of capital and market value of the firm under the Traditional Approach?

15. From the following information supplied to you, determine the theoretical market value of equity shares of a company as per Walter's model:

Earnings of the company	Rs.5,00,000
Dividend paid	Rs.3,00,000
No. of shares outstanding	10,000
Price earning ratio	8
Rate of Return on investment	15%

Are you satisfied with the current dividend policy of the firm? If not, what should be the optimal dividend payout ratio in this case?